

Introduction

While these things are hard to measure precisely, indications are overwhelming that only once before in this century has the morale of the American investor been at anything like the lowebb that exists as these words are being written. The well-known and much publicized Dow Jones Industrial Average is an excellent indicator of the day-to-day change in stock-market levels. However, when a longer period is under consideration, this average may mask rather than reveal the full extent of the injuries suffered by many who have held common stocks in the recent past. One index that purports to show what has happened to all publicly traded common stocks but that does not weigh each stock issue by the number of shares outstanding shows the average stock in mid-1974 down 70 percent from its 1968 peak.

Faced with this kind of loss, large groups of investors have acted in completely predictable ways. One group has pulled out of stocks completely. Yet many corporations are doing surprisingly well. In an environment where more and more inflation appears inevitable, properly selected stocks may be far less risky than some other placements that appear safer. There is an even larger group that is of particular interest: people who have decided that “from now on we will act more conservatively.” The usual rationale here is to confine purchases only to the largest companies, the names of which at least are known to almost everyone. There are probably few investors in the United States and almost none in the Northeast who do not know the names Penn Central and Consolidated Edison or the nature of these companies' services. By conventional standards, Penn Central some years ago and Consolidated Edison more recently were considered conservative investments. Unfortunately, often there is so much confusion between acting conservatively and acting conventionally that for those truly determined to conserve their assets, this whole subject needs considerable untangling—which should start with not one definition but two:

1. A *conservative investment* is one most likely to conserve (i.e., maintain) purchasing power at a minimum of risk.